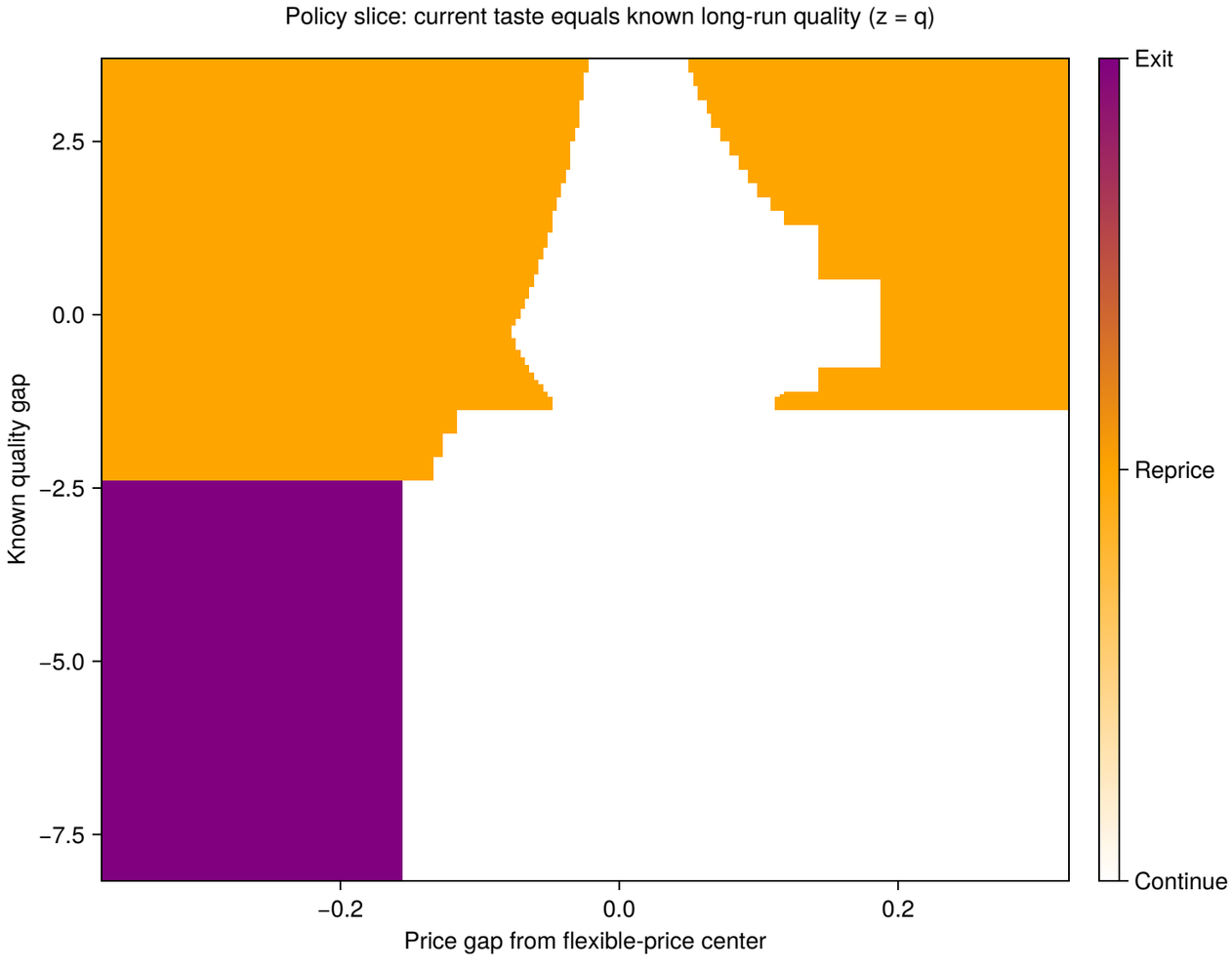
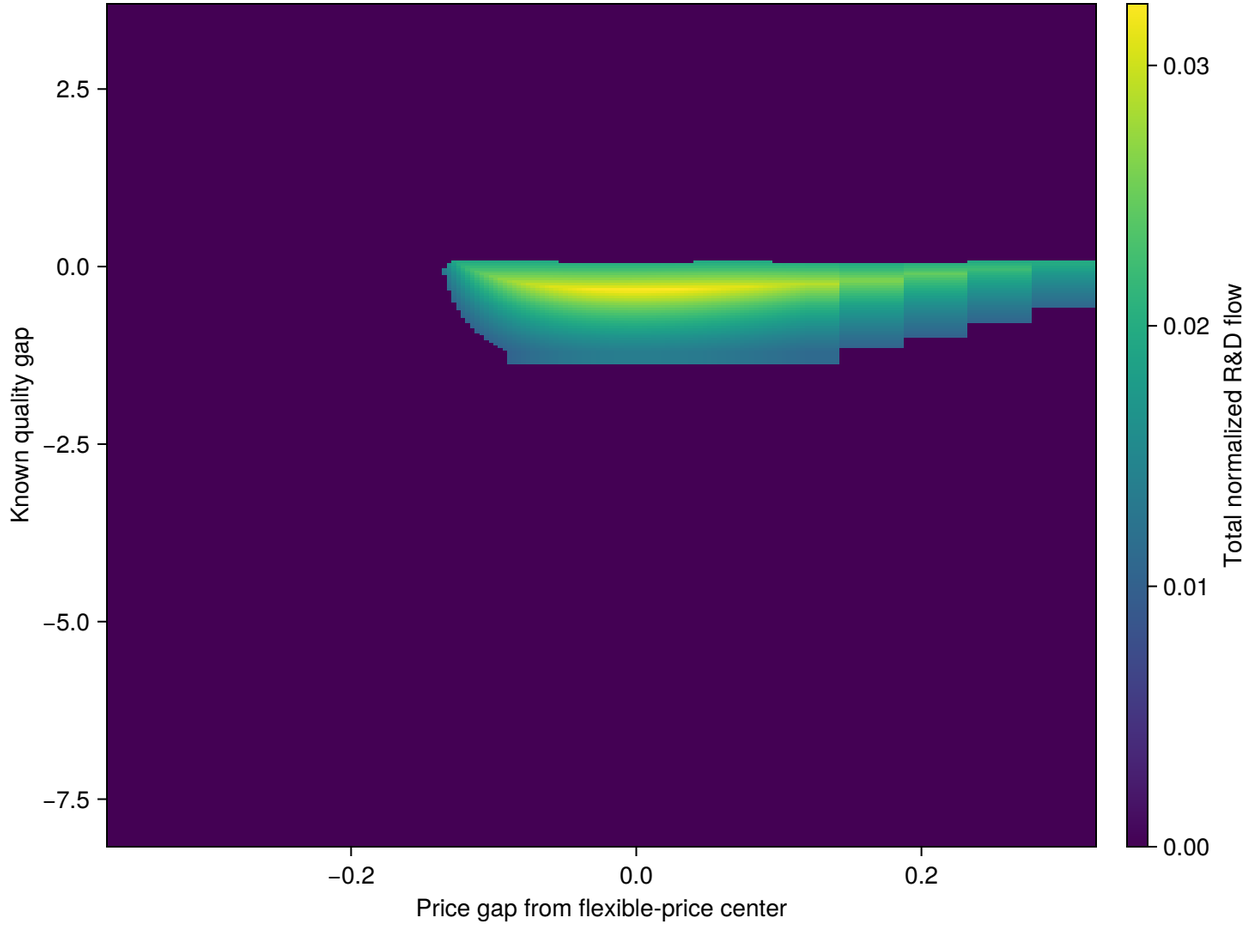

Policy slice: current taste equals known long-run quality (z = q)
Known quality gap
2.5
0.0
−2.5
−5.0
−7.5
−0.2
0.0
0.2
Price gap from flexible-price center
Exit
Reprice
Continue


Known quality gap
2.5
0.0
−2.5
−5.0
−7.5
−0.2
0.0
0.2
Price gap from flexible-price center
Total normalized R&D flow
0.03
0.02
0.01
0.00